

Asian Paints Limited

Financial Statement & Earnings Quality Analysis

How durable and cash-backed are reported earnings?

Research question

How durable and cash-backed are Asian Paints' reported earnings, and what do working capital, capital efficiency and balance-sheet changes reveal about underlying financial quality?

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Basis	Consolidated reported financials, FY22–FY26 (primary series); 10-year diagnostic model FY17–FY26
Sources	Asian Paints FY25-26 Integrated Annual Report, Ten-Year Review and Consolidated Financial Statements
Report date	1 October 2026

Reading note. FY26 headline figures in Sections 2–3 come from the project's source-verified audit (Ten-Year Review and consolidated statements). The 10-year workbook in Section 4 is a normalised model whose FY26 values differ from those headlines; Section 6 documents every gap. Use the workbook for long-run patterns, not point values.

1. Executive summary

₹35,516 cr FY26 revenue +5.1% YoY	₹7,420 cr FY26 EBITDA +12.8% YoY 20.9% margin	₹4,325 cr FY26 PAT +17.9% YoY 12.2% margin	1.64x FY26 CFO / PAT Net CFO ₹7,088 cr
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Verdict. On the source-verified FY26 data, reported earnings are strongly cash-backed: operating cash flow was 1.64x PAT and 96% of EBITDA. The cash figure is flattered by a one-year working-capital release, and the project flags receivables credit quality as the main item to monitor. None of this is a finding of accounting misconduct; the ratios are diagnostics, not verdicts.

Key findings

- **Earnings grew faster than sales.** Revenue rose 5.1% while EBITDA rose 12.8% and PAT 17.9%, so margins expanded. FY26 EBITDA margin was 20.9% against an implied 19.5% in FY25.
- **Operating cash flow jumped.** Net CFO rose to ₹7,088.2 crore from ₹4,424.0 crore (+60%). CFO/PAT moved from an implied 1.21x to 1.64x.
- **Working capital helped.** Lower inventory (–₹975.6 cr) and higher payables (+₹396.1 cr) outweighed a ₹274.0 cr receivables build, a net release of about ₹1,097.7 crore, roughly 15% of FY26 CFO. Stripping it out still leaves CFO/PAT near 1.38x.
- **Returns recovered but sit below peak.** Consolidated ROCE was 27.6% in FY26 versus 26.9% in FY25 and 39.7% in FY24.
- **Credit watchpoint.** Net receivables were ₹4,461.8 crore after an expected-credit-loss (ECL) allowance, and the ageing disclosure shows credit-impaired balances.
- **The 10-year workbook needs reconciling** before it is cited alongside the headline figures (Section 6).

2. Scope, data and method

The project tests earnings quality in three layers: how profit converts to cash, how working capital moves around that conversion, and whether returns on capital justify the quality label. The primary series is Asian Paints' **consolidated** Ten-Year Review. Standalone metrics are published by the company but are deliberately not mixed into the consolidated history.

Component	Coverage
Reported financials	Consolidated, FY22–FY26
Working-capital forensics	Detailed analysis of FY25–FY26: inventory, receivables, payables
Earnings-quality diagnostics	CFO/PAT, EBITDA-to-CFO, FCF/PAT (where comparable data exists), accrual proxy
Capital efficiency	ROCE, RONW, balance-sheet leverage; DuPont and ROIC in the workbook
Receivables	FY26 ageing and ECL monitoring
10-year model	FY17–FY26 normalised workbook with seven analytical tabs (Section 4)

Analytical safeguards

- Consolidated and standalone figures are never mixed in the core series.
- FY25 restatements are accepted as presented in the FY26 Ten-Year Review.
- Indicators are diagnostics rather than definitive judgments; working-capital effects are split into inventory, receivables and payables.
- Some ratios use proxy denominators where exact COGS or average balances are not in the source set.

Supporting code

A Python script computes revenue growth, EBITDA and PAT margins and CFO/PAT from a consolidated historical CSV. A SQL file holds the equivalent queries, including a screen for years where CFO exceeded PAT. Neither reproduces on its own here: the Python script reads `../Data/Asian_Paints_Consolidated_Historical.csv`, which was not included in the project files, and the SQL creates an empty *financials* table with no load step.

Public sources

Source	Used for
FY25-26 Integrated Annual Report	Narrative, disclosures
FY25-26 Ten-Year Review	Primary consolidated series, FY26 headlines
FY25-26 Consolidated Financial Statements	Balance sheet, cash flow, ECL and ageing
FY25, FY24, FY23 Consolidated Cash Flow	Prior-year cash-flow history

3. FY26 earnings and cash conversion

The table shows FY26 reported figures beside FY25 values implied by the stated growth rates. FY25 numbers are derived, so small rounding differences against the Ten-Year Review are possible; only FY25 CFO is reported directly.

₹ crore	FY25 (implied)	FY26 (reported)	Change
Revenue from sale of products/services	33,796.2	35,516.4	+5.1%
EBITDA	6,578.9	7,419.7	+12.8%
PAT	3,667.1	4,325.3	+17.9%
Net CFO	4,424.0	7,088.2	+60.2%
EBITDA margin	19.5%	20.9%	+142 bps
PAT margin	10.9%	12.2%	+133 bps
CFO / PAT	1.21x	1.64x	+0.43x
CFO / EBITDA	67%	96%	+28 pts
ROCE (consolidated)	26.9%	27.6%	+0.7 pts

Sources: Model_Audit.md and README.md (Ten-Year Review, consolidated cash-flow statement). FY25 values other than CFO and ROCE are implied from growth rates. FY24 ROCE was 39.7%.

What the numbers say

Operating leverage did the work. Revenue grew 5.1%, yet EBITDA grew 12.8% and PAT 17.9%, so each rupee of sales produced more profit. The cash result is stronger still: CFO rose ₹2,664 crore while PAT rose roughly ₹658 crore, so most of the cash improvement did not come from profit alone. That points directly at working capital.

A CFO/PAT ratio above 1.0x is the usual sign that profit is real cash. At 1.64x the ratio is unusually high, and a ratio this far above its recent level deserves explanation rather than applause. Section 3.1 provides it.

3.1 Where the extra cash came from

FY26 balance-sheet movements in the three trade working-capital lines were:

₹ crore	FY25 (implied)	FY26	Change	Cash effect
Inventory	6,719.3	5,743.7	−975.6	+975.6
Net trade receivables	4,187.8	4,461.8	+274.0	−274.0
Trade payables	3,466.9	3,863.0	+396.1	+396.1
Net release				+1,097.7

FY25 balances are backed out from the changes stated in the README. Balance-sheet deltas can differ from the cash-flow statement's working-capital lines because of non-cash items, acquisitions and currency effects.

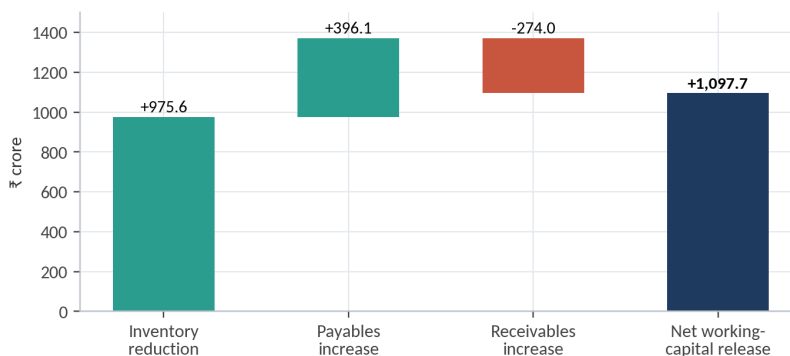


Figure 1. FY26 trade working-capital movements and net cash effect.

Interpretation. The FY26 release of about ₹1,098 crore equals 15% of FY26 CFO and is large relative to the ₹2,664 crore CFO increase. The FY25 working-capital effect is not in the source set, so the exact contribution to the year-on-year jump cannot be isolated. A one-off inventory drawdown cannot repeat indefinitely, so FY27 CFO/PAT should be expected to ease. Excluding the release, CFO/PAT is about 1.38x, still comfortably above 1.0x.

3.2 Receivables and credit quality

Receivables absorbed ₹274.0 crore of cash in FY26 even as inventory fell. Net trade receivables of ₹4,461.8 crore equal about 46 days of revenue (FY25 implied: 45), so the build is broadly in line with sales growth rather than a sharp stretch. The more important disclosure is qualitative: the FY26 ageing schedule identifies credit-impaired balances inside a figure that is already net of an ECL allowance. The allowance's adequacy against those balances is the single item this project flags for follow-up, and the Ten-Year Review alone cannot settle it.

Proxy measures on revenue rather than COGS (inventory about 59 days of revenue, payables about 40) are used because COGS is not in the selected source set. They are comparable across years but are not textbook DIO or DPO.

4. Ten-year diagnostic view (workbook model)

Caution. This section uses the Excel model's FY17–FY26 normalised series. Its FY26 values do not match the source-verified headline figures in Section 3 (Section 6 lists the gaps), and its figures are rounded. Treat the charts as evidence of long-run pattern and relative ordering of years, not as reported values.

Growth. Over FY17–FY26 the model shows revenue compounding at 10.9%, EBITDA at 10.4% and PAT at 11.5%. Growth was lumpy: revenue jumped 34% in FY22 and 19% in FY23, then slowed to low single digits in FY24–FY25. EBITDA margin ranged from 16.5% (FY22) to 22.4% (FY21).

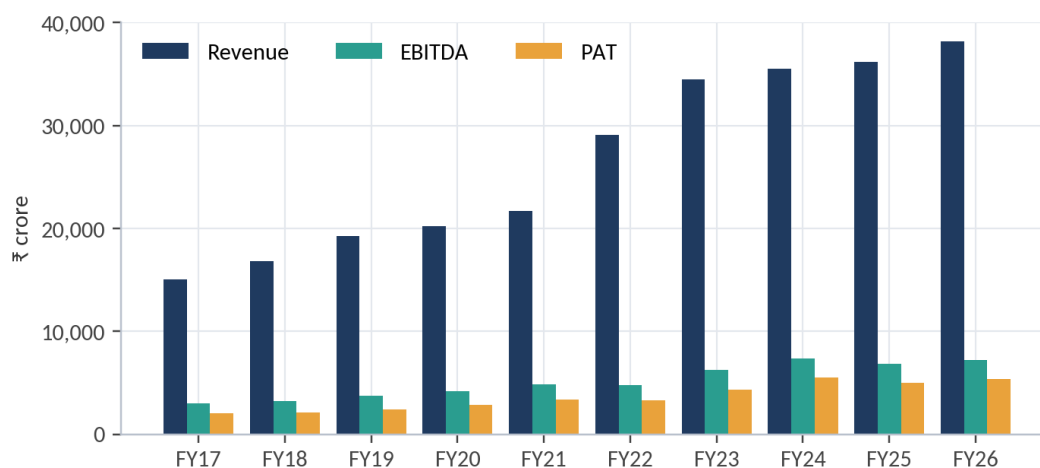


Figure 2. Revenue, EBITDA and PAT, FY17–FY26 (workbook series, ₹ crore).

4.1 Cash quality

CFO/PAT averages 1.02x across the ten years and fell below 1.0x only in FY19 (0.99x), FY22 (0.88x, the raw-material and inventory shock year) and FY23 (0.98x). FCF/PAT averages 0.70x; the gap to CFO/PAT is capex, which ran at about two times depreciation in FY24–FY26.

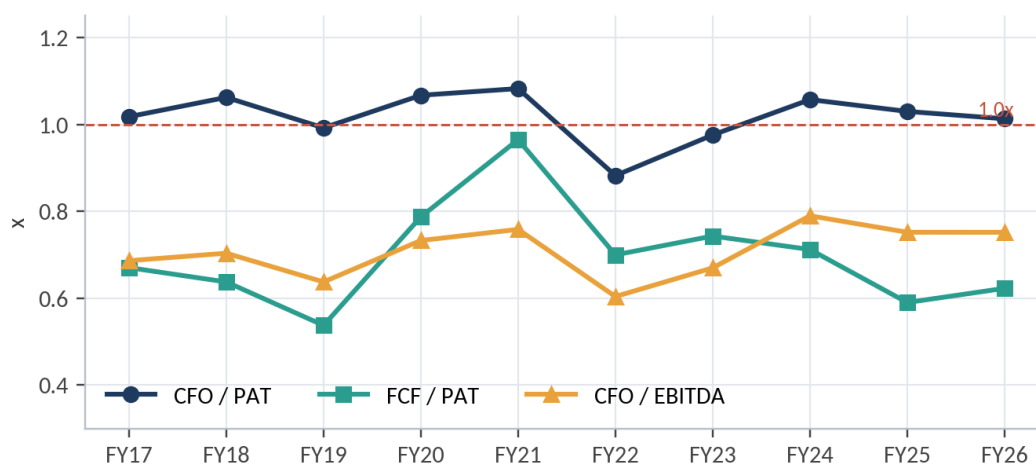


Figure 3. Cash conversion ratios, FY17–FY26 (workbook series).

The Sloan accrual ratio, (PAT – CFO) divided by average assets, stays within $\pm 2.1\%$ every year against a $\pm 5\%$ benchmark, and is negative in seven of ten years. Negative accruals mean cash profit exceeded accounting profit. FY22 is the only year above +2%.

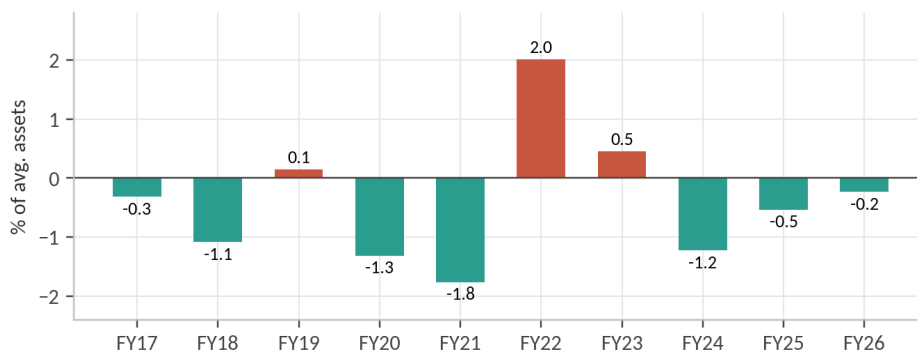


Figure 4. Sloan accrual ratio, FY17–FY26 (workbook series, % of average assets).

4.2 Working-capital cycle

DSO drifted from 35 days in FY17 to 47 in FY26, peaking at 48 in FY25. DIO peaked at 138 days in FY22 and has held near 109. DPO fell from about 108 to 85 days after FY21. The cash conversion cycle widened from about 60 days to 71, so the business ties up more working capital per rupee of sales than it did before FY22, even with the inventory normalisation.

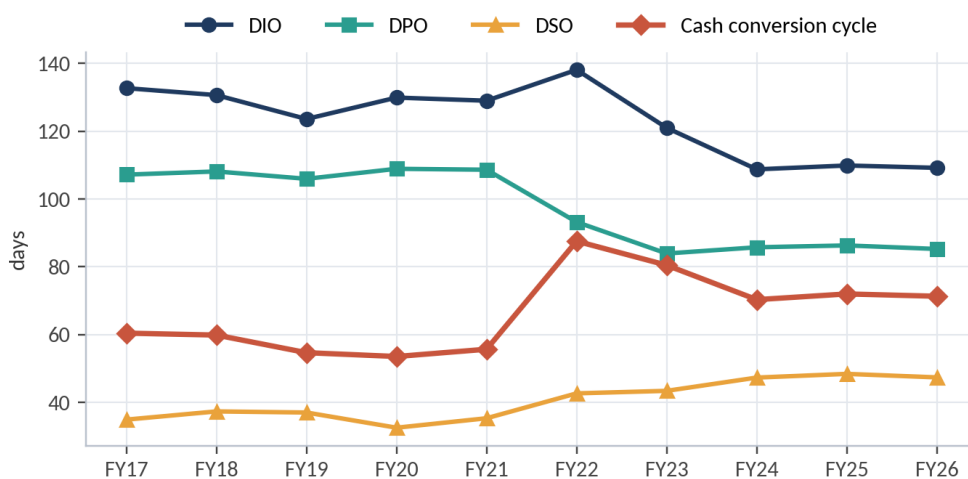


Figure 5. Receivable, inventory and payable days and the cash conversion cycle (workbook series).

4.3 Capital efficiency

ROE is driven by margin and asset turnover rather than leverage: the DuPont tree shows financial leverage of about 1.4–1.5x throughout. ROIC stayed between 24% and 34%, far above the 10.5% cost of capital the workbook assumes. Returns peaked in FY21 and FY24 and have settled about five points lower.

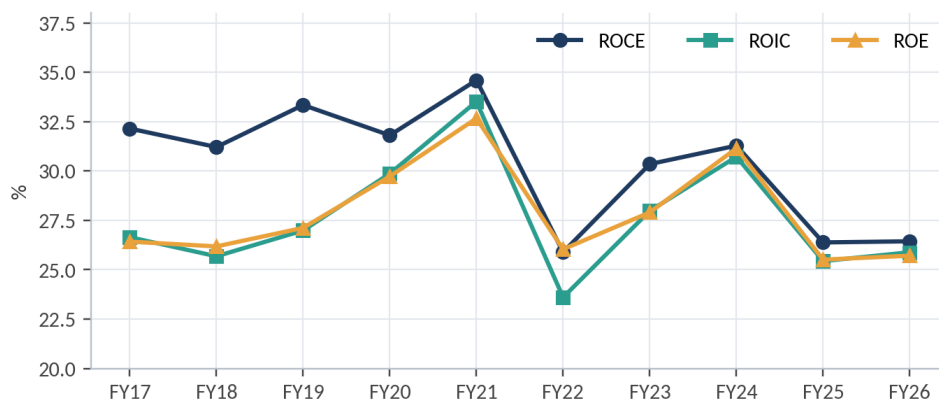


Figure 6. ROCE, ROIC and ROE, FY17–FY26 (workbook series).

Balance-sheet strength: workbook FY26 cash of ₹4,100 crore against debt of ₹1,950 crore gives net cash of ₹2,150 crore, excluding the ₹3,900 crore of investments. Finance costs are small, with interest cover above 30x every year.

5. Monitoring framework

The workbook memo proposes thresholds that would change the quality assessment. They are the project's own analyst triggers, not regulatory limits.

Watch item	Trigger	Why it matters
Competitive pricing pressure	EBITDA margin below 17.5%	Promotional discounting from new entrants would show first in margin
Channel credit	DSO above 55 days alongside slowing revenue growth	Credit extension without volume support is the classic channel-stuffing pattern
Capex returns	Incremental ROCE below 20% on a ₹2,000+ cr annual capex cycle	Capacity added without matching returns would erode ROCE further
Cash durability (added)	CFO/PAT trending to 1.0x or below as the FY26 working-capital release unwinds	Separates a one-off inventory release from sustainable conversion
Credit loss (added)	Growth in credit-impaired receivables or ECL allowance relative to net receivables	The FY26 ageing disclosure already shows impaired balances

The last two rows are additions drawn from the FY26 analysis in Section 3 and are not in the original workbook memo.

The workbook narrative attributes widening dealer credit and a rise in DSO to competitive entry by Grasim (Birla Opus). That causal story is not tied to a source in the project's source list, so it is reported here as the workbook's hypothesis rather than as an established finding.

6. Data reconciliation and model integrity

Before this project is published or cited, two things need fixing. First, the workbook's FY26 figures differ materially from the headline figures in the README and Model_Audit. Second, the workbook contradicts itself in several places. Neither has been resolved against the filings here; the filings were not re-checked.

6.1 Workbook versus source-verified FY26 headlines

FY26 metric	README / Audit	Workbook sheet	Gap
Revenue (₹ cr)	35,516.4	38,150	+7.4%
EBITDA (₹ cr)	7,419.7	7,250	–2.3%
PAT (₹ cr)	4,325.3	5,380	+24.4%
Net CFO (₹ cr)	7,088.2	5,450	–23.1%
CFO / PAT	1.64x	1.01x	–0.63x
Revenue growth	5.09%	5.39%	+0.30 pts
PAT growth	17.95%	7.60%	–10.4 pts
ROCE	27.6%	26.4%	–1.2 pts
Inventory (₹ cr)	5,743.7	5,700	–0.8%
Net trade receivables (₹ cr)	4,461.8	4,950	+10.9%
Trade payables (₹ cr)	3,863.0	4,450	+15.2%

The workbook's round numbers and its description as a normalised model suggest it is illustrative rather than transcribed from the filings. The direction of the story also differs: the workbook shows FY26 CFO/PAT near 1.0x with a modest 7.6% PAT rise, the audit figures show 1.64x with PAT up 17.95%.

6.2 Internal inconsistencies inside the workbook

Where	What conflicts
Dashboard, cash conversion cycle tile	Shows 0 days; the working-capital sheet computes 71.3 days for FY26
Dashboard, 10-year average CFO/PAT	Cell value is 1.02x, but the memo and earnings-quality text say 1.06x
Scorecard, FCF/PAT	Shows 0.63x with “10Y: 1.06x”; the sheet's 10-year average is 0.70x
Scorecard, gross margin	Shows 43.8%; the sheet computes 50.1% for FY26, and the memo says 47–49%
Scorecard and memo, ROCE	Quote 28.5% and “>28%”; the sheet computes 26.4%
Scorecard, PAT CAGR	11.8%, versus 11.5% on the dashboard and the growth sheet
Scorecard, FY26 Sloan ratio	–0.6%; the sheet computes –0.23%
Net cash and net debt/EBITDA	Net cash shown as ₹1,750 cr on the scorecard and ₹2,150 cr on the dashboard; –0.24x leverage versus –0.30x computed from the sheet
Scorecard, FY26 CFO/PAT	Shows 1.03x (the FY25 value); the sheet computes 1.01x for FY26

6.3 Method notes

- The earnings-to-cash bridge in the workbook contains a combined “working capital and non-cash adjustments” line that balances to reported CFO, so it works as a plug rather than an independent test.
- “Cash collected from customers” is approximated as revenue less the change in receivables. It ignores customer advances and GST effects.
- FY25 is implied from FY26 growth rates in this report. Replacing it with the reported FY25 line items would remove the rounding risk.

Recommended fixes, in order: (1) rebuild the workbook's FY22–FY26 rows from the Ten-Year Review and consolidated statements, then rerun every ratio; (2) link dashboard and scorecard cells to the calculation sheets instead of typing values; (3) add the missing historical CSV so the Python and SQL files reproduce; (4) tie the competitive-entry narrative to a cited source or label it as hypothesis.

7. Limitations and disclaimer

- Designed for research demonstration, not statutory accounting.
- Some ratios use proxy denominators where exact COGS or average balance data is unavailable in the selected sources.
- The 10-year series is a normalised workbook model and does not reconcile to the source-verified FY26 figures.
- FY25 values in this report are implied from stated growth rates and have not been checked against the FY25 statements.
- The filings were not re-checked for this report. Figures from the README and Model_Audit are presented as the project states them.
- This is an educational investment-research portfolio project. It is not a SEBI-registered research report, investment advice, or a conclusion about accounting misconduct. Diagnostic ratios should be interpreted in context.

Appendix: workbook 10-year series (₹ crore unless stated)

Metric	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Revenue	15,062	16,822	19,240	20,211	21,713	29,101	34,489	35,495	36,200	38,150
EBITDA	2,987	3,198	3,765	4,162	4,856	4,803	6,260	7,370	6,850	7,250
PAT	2,014	2,118	2,419	2,858	3,402	3,287	4,297	5,505	5,000	5,380
CFO	2,050	2,250	2,400	3,050	3,683	2,900	4,193	5,820	5,150	5,450
Capex	700	900	1,100	800	400	600	1,000	1,900	2,200	2,100
EBITDA margin	19.8%	19.0%	19.6%	20.6%	22.4%	16.5%	18.2%	20.8%	18.9%	19.0%
PAT margin	13.4%	12.6%	12.6%	14.1%	15.7%	11.3%	12.5%	15.5%	13.8%	14.1%
CFO / PAT	1.02x	1.06x	0.99x	1.07x	1.08x	0.88x	0.98x	1.06x	1.03x	1.01x
FCF / PAT	0.67x	0.64x	0.54x	0.79x	0.97x	0.70x	0.74x	0.71x	0.59x	0.62x
DSO (days)	35	37	37	33	35	43	43	47	48	47
DIO (days)	133	131	124	130	129	138	121	109	110	109
DPO (days)	107	108	106	109	109	93	84	86	86	85
CCC (days)	60	60	55	54	56	88	80	70	72	71
ROCE	32.1%	31.2%	33.3%	31.8%	34.6%	25.9%	30.3%	31.3%	26.4%	26.4%
ROIC	26.6%	25.7%	27.0%	29.9%	33.5%	23.6%	28.0%	30.7%	25.4%	25.9%
ROE	26.4%	26.2%	27.1%	29.7%	32.7%	26.0%	27.9%	31.1%	25.5%	25.7%

Source: Asian_Paints_Financial_Statement_Earnings_Quality_Model.xlsx, sheets 01–06. Not reconciled to filings; see Section 6.